Politicking Behaviour of Indian Firms

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Abstract

The relationship between politicians and firms is not a secret and often seen publicly in many developing countries. However, the estimation of the firm's political connection is challenging where different authors estimate these connections distinctively. We propose a broad definition and examines the nature and consequences of political connections for India's mixed economic set-up. We emphasize over the effects of connections through different channels including Members of Parliament (MPs) and contributions to the national political parties. Using Standard & Poor's Bombay Stock Exchange (S & P BSE) Index for 500 firms, we find that political connections have a positive effect on firms profitability and access to credit which varies with the strength of connections. The firms contributing to multiple political parties are benefited more in the decentralized structure of the Indian economy. We further find that the degree of effect differs with the firm's size.

JEL Classification: H7; K0; P2; P3

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1 Introduction

The rise of India as one of the fastest growing countries in the world has attracted the attention of researchers, global investors and policymakers across the globe to find out whether the high growth trajectory of India could be explained by the weak legal and regulatory institutions. The influential studies in this field suggest that the existence of weak legal and regulatory frameworks allows state and non-state owned firms to undertake politicking activities for favorable economic benefits and support during the economic downturn. In a recent study on China, Su and Fung (2013) find that political affiliations do play a crucial role on the financial performance of firms. Similar studies have also come out with comparable research outcomes in case of other developing countries including Indonesia, Malaysia, Pakistan, Thailand and Taiwan (see Fisman (2001); Johnson and Mitton (2003); Khwaja and Mian (2005); Leuz and Oberholzer-Gee (2006); Li et al. (2008); Yeh et al. (2013).

The growing literature on the relationship between political connections and business firms suggests that there is a positive association between political connections, firms performance and economic rents. So far most of the studies in this field suggest that the firms with political connections perform better than their non-political peers. This is mainly because politically connected firms have better access to credit, preferential treatment in design as well as the implementation of property rights, sizable share in the fiscal incentives and enjoy a favorable tax structure compared to their non-political peers. Some of the prominent studies which have examined these issues in the contexts of developed and developing countries are Kroszner and Stratmann (1998), Agrawal and Knoeber (2001), Fisman (2001), Johnson and Mitton (2003), Dinc (2005), Khwaja and Mian (2005), Adhikari et al. (2006), Leuz and Oberholzer-Gee (2006), Faccio (2006), Claessens et al. (2008), Ferguson and Voth (2008), Goldman et al. (2008), Francis et al. (2009); Faccio (2010), Cooper et al. (2010) and Su and Fung (2013). These studies suggest that having political connections ensure the better financial performance. The underlying idea of the association between politics and business can be derived from the resource dependence and relative positioning theories which suggest how political affiliations help firms to obtain better access to vital resources.

The examination of the nexus between politics and business in the context of emerging economies like India, has not yet been deeply explored and want special attention because of its unique socio-political set-up. The outcome of such analysis can also become a significant value addition to the literature. The legal and regulatory frameworks are not well developed, yet the economy has achieved a higher rate of economic growth than its peers. According to Business Doing Database (2016) published by World Bank, India has been ranked at 130th place compared to China (78). Similarly, on the business environment, it has been ranked much lower than China and Russia. The Corruption Perception Index (2016) ranking by Transparency International, India is ranked at 79 positions with Brazil, China and Belarus (see Transparency International[1], 2016). This brings to the conclusion that the high growth story of India cannot be well explained by the quality of regulatory and legal bodies and directs towards the possible existence of alternative or informal institutional arrangements such as political and business connections. The case of India is also important because of its decentralized democracy wherein different organizations work together to protect the interests of various stakeholders.

According to Fisman (2001), the identification of politics-business connection in Indian case may require utmost care because of the existence of numerous decision-making bodies. However, the examination of business-politics nexus in the case of India is also desired because of the increasing role of private sector in the economy and regulatory benefits provided by the government to the private companies. Against this background, the present study attempts to examine the impact of political connections along with financial and economic factors on the financial performance of state-owned and non-state owned publicly traded firms. Specifically, we carry out this study into two steps. In the first step, we examine the impact of political connections on the financial performance of politically connected firms at the aggregate level. Then, in the second step, we take a different perspective and examine the impact of political connections on Indian firms at the disaggregated level. We have disaggregated the sample firms into three categories based on their market capitalization viz., large, medium and small. We carry out this exercise to

[1] https://www.transparency.org/news/feature/corruption_perceptions_index_2016

confirm whether the impact of political connections on firm's performance remains same at aggregated as well as dis-aggregated levels.

As above mentioned, owing to the decentralized system of decision-making and presence of a large number of political parties, we define the political connections in two ways: First, based on the conventional classification that whether a Member of Parliament (MP) or any minister is part of any business groups or firms. Second, to avoid the void of MP linked political connections, we also take into account the financial contributions in the form of political donations from these companies. We provide the detailed account of this political connection in the subsequent section. In the Indian context, so far studies are mainly concentrated on the privatization of public firms, caste, corruption & governance and welfare schemes influenced by connections are available (see Dinc and Gupta (2011); Sharma and Mitra (2015); Acharya et al. (2015); Vadlamannati (2015). However, weak market institutions will lead to more biases in the market or market failure. In short, the identification and effect of political connections is shown in Fig 1. To summarize, it is apparent from above studies that no comprehensive study has so far evaluated the impact of political connections on state-owned and non-state-owned firms' financial performance. This study attempts to fill this research void. To the best of our knowledge, the present study will be the first comprehensive study that will examine this phenomenon in the Indian context. Thus, the study is a noble attempt to capture whether the weak or strong market agencies and decentralization effect have significant impacts on a firm's performance.

The results of this study suggest that the political connections have a positive effect on firms profitability and access to credit which varies with the strength of connections. We further find that the degree of effect differs with the firm's size where the firm contributing to multiple parties are benefited more in the decentralized structure of the Indian economy.

The next section includes the literature and hypothesis of the study followed by Section 3 that details the data availability and identification of political connections. Section 4 provides the methodology employed and regression results of the analysis with final Section 5 that concludes the study.

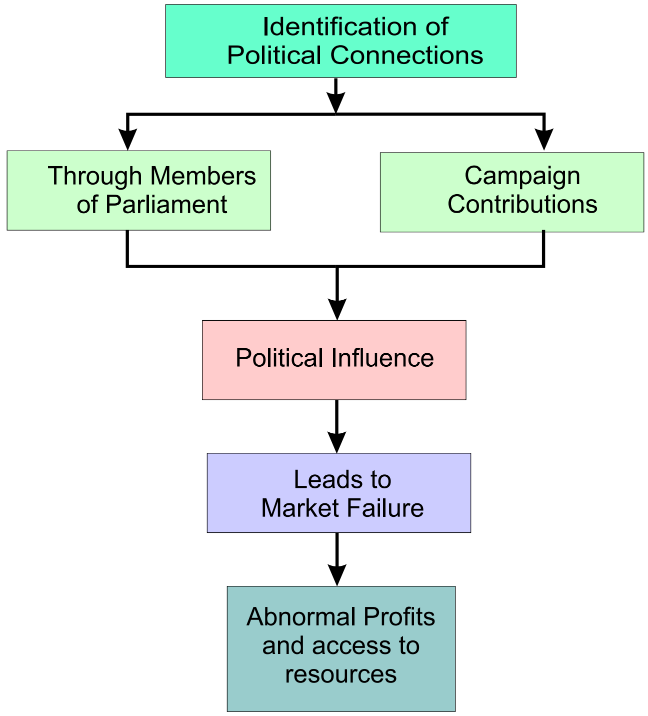

Figure 1: Representation of identification of Political Connections

2 Literature and Hypotheses

The firms have an incentive to be politically connected. A wide range of studies focused on this issue both at the country level and at global level. Shleifer and Vishny (1994) find that firms owned by politicians' act differently than firms owned by managers (private entrepreneurs). The two-way flow of bribe comes into picture. The manager held firms are given subsidies and bribes to accomplish political objectives while managers give bribes to politicians to not to seek policy goals. Thus, the politically owned companies extract rents. Agrawal and Knoeber (2001) suggest that firms for which political connections matter a lot (involves sales to government, exports, greater lobbying), generally have outside directors in firm's board with political or law background and have a significant role to play. However, this study is confined to manufacturing firms.

Almost all studies to the best of our knowledge support the evidence of higher debt dependence of politically connected firms (PCFs). Khwaja and Mian (2005) investigate political connections of the firms by their access to bank loans and defaults. The paper focuses on the degree, nature and monetary costs of the loans provision and finds that PCFs have higher loan access and default rate as compared to non-politically connected firms (NPCFs). Leuz and Oberholzer-Gee (2006) find that firms connected to President Suharto have easy credit access so, they are more leveraged and less likely to have publicly traded foreign securities. Faccio (2006) finds government bailed out politically connected firms have a higher leverage than their non-connected peers. Bliss and Gul (2012a) and Bliss and Gul (2012b) find in the case of Malaysian economy that PCFs have higher leverage and cost of debt suggesting that lenders perceive politically connected firms have inherently higher risks. Blau et al. (2013) in their study examines the political connections of banks during 2008 Troubled Asset Relief Program (TARP) for US economy. They find that politically connected firms were not only more likely to receive the TARP but also by a higher amount than non-politically firm.

Thus, soft budget and easy access to credit indicates that politically connected firms are more leveraged or are more indebted as compared to their non-connected counterparts which lead to the following hypothesis:

Hypothesis 1: Politically connected firms are highly leveraged owing to their preferential treatment over non-connected peers.

Recent study by Faccio (2010) emphasizes over the tax benefits enjoyed by PCFs. The definition of the variable used in the study is given in subsection 3.4 which is similar to the one used by Faccio. However, the study further highlight certain limitations with analyzing taxation and specifies it to differ with the company's profitability i.e. taxes could be lower due to lower profitability and not due to political connections. Thus, a lower or insignificant change in tax payments with high profitability might indicate some sought of political influence. Also, these results are further sensitive to the type of industry a firm operates as tax breaks are industry specific rather than for a particular firm. Hence, the above discussion leads to the following hypothesis:

Hypothesis 2: Politically connected firms pay lower taxes compared to their non-connected peers, though their profits remains high which indicates the tax benefits.

Various empirical studies suggest that political connections effect firm's performance or profitability. Johnson and Mitton (2003) find that Malaysia's capital control policy as adopted by Malaysian government after the financial crisis of 1998 is biased towards PCFs. Their gains after a crisis are much higher than NPCFs. Mobarak and Purbasari (2006) finds that firms connected to President Suharto are more profitable and export-oriented as compared to their non-connected peers. Li et al. (2008) find the role of firms or entrepreneurs, having a membership in the ruling Chinese Communist Party on the firm's private activities. The paper observes a positive effect of party connection on firm's performance. Su and Fung (2013) examine the impact of political connection on firm' financial performance for China during 2004-2008. They find a positive relationship between political connections and firm performance. They also report that the political connection weakens the adverse effects on the firm value of related party transactions. The study also finds that political connections are uniformly used by state-owned and non-state-owned firms to seek special benefits.

However, some studies contrast to these results. Using the firms' level data of 47 countries, Faccio (2010) reports that on an accounting basis, the NPCFs outshine the PCFs though they enjoy higher leverage and higher market share compared to NPCFs. Menozzi et al. (2011) examine the performance of local utility bodies when their board of directors was politically connected. Using the data on 114 Italian local public utilities for the period 1994-2004, they find that politically connected board of directors dominate in the local public utility units and have an adverse impact on their performance. However, Faccio (2006) finds political-corporate connections around the world and examine the addition of these connections to firm's value. The study finds that connections are not common across countries and are same for countries with similar corruption levels. The value of a firm increases with political connections, but it also depends on the type of connection (strong or weak). Thus, the studies suggest that political connections do change firm's performance along with the strength of connection, which leads to the following hypothesis:

Hypothesis 3: The performance or profitability of politically connected firms is different from their non-connected counterparts which could also differ with the strength of connection.

We have already mentioned above regarding higher debt dependence of politically connected firms which indicates their greater credit access. Li et al. (2008) has also looked from loans perspective and find that it is easy for private-politically connected firms to obtain loans from government banks. Yeh et al. (2013) examine the linkage between political connections and preferential bank loans. Using event study approach, the study finds that there is a positive dependence between political connections and preferential bank loans in Taiwan. However, Faccio et al. (2006) conclude that PCFs are more likely to be bailed out during financial distress and with this implicit assumption these firms prefer long term debt. In a recent study, Cheng and Leung (2016) in the case of China examine the PCFs from economic and national interests and report that these firms are rebound from financial distress more quickly than NPCFs. Thus, long-term debt is a clear indication of political influence even within debt dependence of politically connected firms. Taking the case of real estate firms in China for the period 1998-2012, Ling et al. (2016) examine the impact of political connections on external financing, corporate investment, and financial performance. They find that political connections are positively related to the long-term bank loans and even to the corporate over-investment. Consequently, our last hypothesis is as follows:

Hypothesis 4: Politically connected firms have greater access to credit with a higher emphasis on long-term debt as compared to their non-connected peers.

3 Data

3.1 Sample Firms

The sample firms that we use in this study are taken from S & P BSE (Bombay Stock Exchange) 500 index which covers a period of 14 years from 2002 to 2015. We exclude the financial firms as they are expected to have higher leverage ratios as compared to non-financial firms which may bias our results. With this exclusion, our sample reduces to 419 firms. This number is still higher than other global studies that include India in their analysis of political connections.[2] The sample also comprises of Large-cap, Mid-cap and Small-cap firms which make it more diverse and covers the impact of political connections for each cohort or at each level in the economy. The division of firms helps us to control other than firm attributes like availability of collateral or human capital differences at each level and ensure robust analysis. We extract the name of firm's top officers (directors, chairperson, CEO, secretary, large shareholders) and financial indicators from Centre for Monitoring Indian Economy (CMIE) and Thomson Reuters DataStream databases. Data regarding Gross Fixed Capital Formation (GFCF) is taken from World Development Indicators (WDI) database. We tracked the political connections of a firm by connection through top officers and contribution to a single and multiple national political parties.

3.2 Matching of PCFs

3.2.1 Connections through members of Lok Sabha and Rajya Sabha

Lok Sabha and Rajya Sabha are two houses of Indian Parliament where former is the lower house and later is the upper house. We used the data of all the elected Lok Sabha and Rajya Sabha members since 1952 which is taken from the website of Parliament Of India.[3] This is done to reduce any discrepancy regarding the elected politician and senior officers term as there is a possibility of any top officer to be an elected member of Parliament in the past which is taken care. Thus, any senior officer who is not only in the period

[2]Faccio (2010) finds 8 political connections for a sample of 257 firms for India.

[3]`http://parliamentofindia.nic.in/` accessed on January, 2017.

of study but also in past years is a Member of Parliament (MP) is said to be politically connected. The name of all the directors, chairperson, secretary, CEO and shareholders of a firm is available at CMIE database. A firm's director is a politician if their full names exactly match (i.e. first, middle and last names after removing initials.[4]) Thus, a firm is said to be politically connected if at least one of its senior officers (directors, chairperson, secretary, CEO) or large shareholder (holding more than 10 percent shares) is or was an MP or a Cabinet ranked minister. It is measured by the variable CONMP in the study. This definition of political connections is quite similar to the definition of Faccio (2006), where we have not included the close relations of a director with the politicians. Close ties lack definition objectivity and thus treated as a separate group while analyzing the political connections by Faccio(2006). However, in the case of emerging economies like India weak institutional development and state control of resources also make other channels of building political connections necessary. The definition of Faccio ignores the connection that firms built by contribution to the political parties. There exists a strong correlation between firm's contribution and their future abnormal returns Cooper et al. (2010). Thus, to remove the ambiguity or to minimize the errors in our analysis of political connections we have included even this channel of political connections along with examining the connections through MPs.

3.2.2 Connections through Contributions to the National Political Parties

In India, there are seven national parties and among them only two parties i.e. Bhartiya Janta Party (BJP) and Indian National Congress (INC) are most prominent and have a significant role to play at the national level. These parties have their government at the state level under the umbrella groups called National Democratic Alliance (NDA) for BJP and United Progressive Alliance (UPA) for INC. Thus, the study includes the contributions to these parties only. Second, other parties lack in data availability like Bahujan Samaj Party never filed the list of contributors. Third, during the period of our study from 2002 to 2015 these two parties were in power at the center level. Hence, we used the data of

[4] Initials include Acharya, Adv., Begum, Captain, Choudhary, Dr., Hazi, Her Highness, Kumari, Khawaja, Mahanth, Maulana, Molana, Ms., Pandit, Principal, Prof., Qazi, Rajkumari, Rajmata, Retd., Sardar, Shri, Shriman, Smt., Sushree, Tai, Thakur, and Thol.

contributors only to BJP and INC.

But, why from 2002 to 2015?

On the basis of a Public Interest Litigation (PIL) filed in 1999, the Supreme Court of India made it mandatory to disclose criminal, financial and educational background before the elections to bring transparency in the electoral system. Political parties are also required to submit the list of donors (contributing above Rs. 20,000) to the Election Commission every year along with the details of the donor like PAN number, mode of payment, etc. The data regarding the contributors is available at the website of Election Commission of India[5] and provided by ADR.

The Election Commission of India supervises and regulates all the election-related activities in the country. This proves the highest level of credibility and reliability of the data. However, in the case of India 75 percent of sources funding to the political parties are unknown as per Association for Democratic Reforms (ADR) report (2013)[6]. Thus, by looking at the contribution source and its amount for each year will lead to huge Type I error i.e. correct exclusion. This is because there is a high possibility that a firm contributes from unknown channels. Even if in a particular year contributor is known again there are doubts against the amount of contribution as the firm can use both known and unknown sources. Thus, to minimize the errors while examining the impact of political connections on a firm's performance we define a firm to be politically connected if at least once the firm or any of its subsidiary contributes to a national political party. It is measured by the variable CONCONTRI in the study.

However, these contributions put a question over the strength of a political connection. To measure the strength of a connection, we further divide the contributions into two categories:

Contributions to a Single National Political Party

The firms contributing to a single political party (either BJP or INC) are defined to be weakly connected. This is because from 2002 to 2015, three Lok Sabha elections took place which leads to the change in Central Government twice. The change in government

[5] `http://eci.nic.in/eci_main1/PolPar/ContributionReports.aspx`, accessed on March 2017.

[6] http://adrindia.org/media/adr-in-news/about-75-funding-six-major-political-parties-unknown-sources, accessed on March 2017

is considered an adverse shock for the firms supporting a single party if this support is providing benefits. It is measured by the variable CONTRI1 in the study.

Contributions to both the National Political Parties

The firms contributing to both (BJP & INC) the major national parties are defined to be strongly connected as these firms are immune from the change in government. It is measured by the variable CONTRI2 in the study.

However, in this case, also there is a possibility of Type I error as there could be firms who contribute to both the parties but from known sources they are seen to be contributing a single party or firms who always contribute from unknown sources. However, we have tried to minimize this possibility by taking data for 14 years which makes it difficult to believe that a firm contributes from unknown sources for all these years. On the other hand, Type II error i.e. incorrect inclusion is also minimized as all the first, middle and last names are matched for CONMP and the name of a company is unique when we measure for CONCONTRI.

3.3 Definition of Political Connection

A firm is said to be politically connected if at least once one of its top officer (CEO, Director, Chairperson, Secretary) or large shareholder is or was a Member of Parliament (MPs) or the firm contributes at least once to any of the national political party. This distinction is beneficial to inspect the differential effect of political connections. It is measured by the variable CONN in the study. Table 1 provides the classification of connections for all as well as for each cohort of firms. Henceforth, the study uses a broad range of firms and longer period which provides a detailed understanding regarding the impact of political connections on the performance of Indian firms.

[**Insert Table 1**]

3.4 Dependent Variables

To measure the extent of amelioration in the performance of PCFs, we have taken the following variables:

Leverage: Leverage is the total debt as a percentage of total capital. Various recent studies find that PCFs are more leveraged than their non-connected peers. Cooper et al. (2010)find that firms with higher leverage have a greater likelihood of participation in the political process. Accordingly, we expect leverage to be positively associated with politically connected firms.

Taxation: The variable Tax is defined as total tax/total income. Faccio (2010) finds that PCFs pay lower taxes as compared to their non-connected peers and also highlight certain limitations of the variable. Tax payments for a firm could be lower due to lower profitability of the firm or industry specific concessions provided by the State.

Profitability: The profitability of the firms is measured by return on assets (ROA) and profit after tax (PAT). ROA is the ratio of a company's net income to total assets and PAT refers to the profit after all direct and indirect taxes of a company. Shleifer and Vishny (1994) find that PCFs are provided favours in return of political benefits (e.g., locating their activities in politically desirable areas, over-employment etc.). Thus, these favors come with a price which at times dominate their returns. Fisman (2001), Johnson and Mitton (2003) also find that advantages from political connections eliminate as these firms have to devote substantial resources to get benefits. However, PCFs may outperform due to lower constraints in the production process and other benefits that they derive from connections Li et al. (2008).

Access to credit: We use short-term debt (including current portion of long-term) and long term debt to measure the credit access of the firms. Various studies support the anecdotal belief that politically connected firms have higher access to credit. Khwaja and Mian (2005) find that politically connected firms in Pakistan are given preferential treatment as they borrow 45 percent more and have 50 percent higher default rate. Faccio et al. (2006) conclude that during financial crisis PCFs are more likely to be bailed out and by this implicit assurance we expect that PCFs have higher access to credit, at least for long-term debt as compared to their non-connected counterparts.

3.5 Preliminary Results

Table (2) represents the various dependent and independent variables used in the study. We use financial variables such as leverage, return on assets (ROA), various firms and country attributes. Leverage is used to compare the contribution of total debt in total capital across PCFs and NPCFs respectively. Tax is taken to measure the difference in tax payments due to firm's political influence. To measure the profitability difference across PCFs and NPCFs, we use ROA and profit after tax (PAT). The access to credit is a significant variable which is used to measure the resource availability to the firms in a developing economy and to measure this we use both short term and long term debt. We have included various firm controls to minimize endogeneity in our multivariate regression analysis which we will discuss in the next section. Assuming Cobb-Douglas production function[7], we control for firm's total output to control their size and operating expenses (measured by raw materials and spares) as they can affect the output. GFCF will take care the dynamic infrastructure changes within India which may significantly affect the firm's output in a developing economy.

[Insert Table 2]

Table (3) represents a central tendency measure for different variables and shows that mean difference across variables remain significant for PCFs and NPCFs. Non-CONN and CONN represent the politically non-connected and connected firms respectively, based on the definition of political connections in the study. Diff column indicates the mean difference in financial variables and other attributes between Non-CONN and CONN. The results indicate that mean of financial variables remains favorable for PCFs as demonstrated by t-test. PCFs are highly leveraged and have greater access to credit as confirmed by Pr(T <t) and Pr(| T | >| t |). The results are in line with Johnson and Mitton (2003) for Malaysia; Cull and Xu (2005) for China; Khwaja and Mian (2005) for Pakistan. Lower tax payments and high profitability with a low return on assets (ROA) confirm Faccio (2010). Thus, the preliminary results are consistent with our hypotheses regarding the

[7] Commonly used Cobb-Douglas production function in macroeconomic modeling is $Y = f(K, L)$. $Y = K^{\alpha} L^{\beta}$ or $ln(Y) = \alpha\ ln(K) + \beta\ ln(L)$.

effect of political connections where we have not included various potential determinants along with firm's size and connections strength.

[Insert Table 3]

4 Methodology and Regression Results

4.1 Methodology

In this section, we will briefly discuss two major techniques to deal with the panel data i.e. Fixed effects (FE) and Random effects (RE). Fixed effects model assumes that every individual panel has their characteristics or ability which may bias the estimates. So, to control this bias FE model removes all the time-invariant variables. FE model is appropriate if we are focusing on a specific set of N firms or inference is restricted to these firms (Baltagi (2008)). However, Random effects model assumes that the variation across entities is random and allows generalizing the inferences beyond the sample.

Since, our econometric specification of examining the performance of PCFs is explained by a time invariant binary variable-POL (variable of interest) and other controls so, to preserve the POL, entity fixed effects are introduced in the model. This Least Square Dummy Variable Model (LSDV) controls the unobserved heterogeneity and estimates a pure effect of explanatory variables. Specifically, we estimate the following model:

$$\begin{aligned} y_{it} = \alpha + \beta_1 POL_i + \beta_2 Firm\ Attributes_{it} + \beta_3 Country\ Control_t \\ + \sum_{i=2}^{N} \gamma_i E_i + \sum_{t=2}^{T} \delta_t Time_t + \epsilon_{it} \end{aligned} \quad (1)$$

where i stands for the number of firms, t stands for a number of years and y represents various Performance Indicators that we have already discussed in the previous section. POL is a binary variable which represents different forms of political connections i.e. CONMP, CONCONTRI, CONTRI1 and CONTRI2. The variable is equal to 1 if a firm is politically connected by the respective definition of political connection. $Firm\ Attributes$

includes State-owned dummy variable to control the level of state ownership, total production of a firm which is measured by assuming Cobb-Douglas production function used to control the firm's size and operating expenses which include raw materials and spares used in a firm. To identify these firm controls we refer to previous studies including Fan et al. (2007) and Boubakri et al. (2012) who find that state ownership could affect the firm's performance. Cingano and Pinotti (2013) show that factors employed by a firm could have an impact on production and thus its financial decisions. Nevertheless, we supplement these variables with firm fixed effects computed by E which is a binary variable for entity fixed effects and T is used for time fixed effects in our sample. Although the study is only for a single country i.e. India, we include $Country\ Control$ which is measured by Gross Fixed Capital Formation (constant LCU) to monitor the impact of internal improvements in a developing economy. However, our variable of interest is POL and we focus on the coefficient β_1 as it measures whether PCFs enjoy greater leverage, higher profitability, tax discounts and easy access to credit.

4.2 Regression Results

4.2.1 Results at Aggregate level

Table (4) represents the multivariate regression results for regressing financial variables on the politically connected firm dummy (POL) and other firm and country attributes for (1). Here, political connections are defined according to the definition mentioned in the study where Model (1) indicates that PCFs possess higher leverage as compared to NPCFs. In order to gauge the impact of tax benefits enjoyed by PCFs, we measure the variable Tax in Model (2) which shows that tax payments by PCFs remain positive and significant which increases at the rate of 0.975 per unit. The result is in contrast to Faccio (2010) which is not surprising due to certain issues regarding the measurement of tax benefits (as mentioned above). Model (3) indicates profitability of the firms which remain insignificant for PCFs. Model (4) represents the credit access for these firms which remain high only for short term whereas long term credit availability remain insignificant. Thus, the results show that PCFs have higher leverage and greater access to credit with no significant effect over their profitability and tax concessions.

[Insert Table 4]

Now, to look at the effect of political connections through different channels, we divide these connections into four groups as mentioned above. First, political connections through members of Lok Sabha and Rajya Sabha (MPs) which is measured by the variable CONMP for (1).

In Table (5), Model (1) indicates that PCFs have higher leverage which increases at the rate of 3.012 per unit as compared to NPCFs. The results are consistent with extensive prior studies including Cull and Xu (2005) and Boubakri et al. (2012). Model (2) shows that tax payments by PCFs is lower than NPCFs even when they enjoy higher profitability confirmed by Adhikari et al. (2006), Faccio (2006) and Faccio (2010), who find that PCFs pay lower taxes as compared to NPCFs. Thus, firms connected through MPs (CONMP) pay lower taxes which is in contrast to CONN. Positive PAT and negative Tax indicates that lower tax payments are not politically driven which confirms our hypothesis 2.

[Insert Table 5]

Model (3) represents the profitability of PCFs, measured by ROA and PAT, which shows that PAT for PCFs increases at the rate of 2.143 per unit where as ROA remains insignificant. Mobarak and Purbasari (2006) confirm the positive effect of political connections over firm's profitability . Model (4) represents the effect of political connections over the credit access of the firms and indicates that short term and long term debt increases at the rate of 2.485 and 3.434 per unit respectively for PCFs as compared to NPCFs. Our results are consistent with Dinc (2005); Khwaja and Mian (2005) who find that firms with political connections have higher access to credit as compare to their non-connected peers and these benefits are mainly in case of long-term debt.

Second, forming connections through contributions to the political parties. Political alignment of firms happen through their contributions in the election campaigns (Jayachandran (2006); Ferguson and Voth (2008); Aggarwal et al. (2012) and benefits from these contributions are positively correlated with the number of candidates a firm supports (Cooper et al. (2010)). Table (6) reports the result of financial indicators when connections are built through contributions to the national parties. Political connections are measured by CONCONTRI for (1) in Panel (A). These results are quite consistent with the previous ones, but CONCONTRI remains insignificant for Model (1) and Model (4) which measures leverage and profitability of the PCFs respectively. The results suggest that the connections through contributions have an insignificant effect over PCFs leverage and ROA. We find that these firms do not enjoy any tax benefits through their connections. However, these tax benefits could also be industry specific.[8]

[**Insert Table 6**]

To undertake the differences in the strength of connections, we measure political connections by contributions to a single national party and both the national parties by CONTRI1 (third group) and CONTRI2 (fourth group) respectively in Panel (B). The results suggest that firms contributing to both the parties have higher access to credit as compared to those contributing to a single party. CONTRI2 is positive and significant for both short-term and long-term debt which increases at the rate of 3.172 per unit and 3.903 per unit respectively in contrast to positive long-term debt and negative short-term debt for CONTRI1. The results are consistent with Dinc (2005); Khwaja and Mian (2005); Faccio (2010); Claessens et al. (2008) and Su and Fung (2013). Leverage and profitability remain positive and significant for both CONTRI1 and CONTRI2.

Consequently, firms connected to both the parties enjoy higher political capital as compared to firms connected to a single party due to their strong connections at every level in a federal economy with different decision making bodies. Thus, the results conclude that with a broader definition for political connections, the outcome remains weak as compared to a precise definition which we find in the case of CONCONTRI. In contrast to CONMP, tax payments remain insignificant for both CONTRI1 and CONTRI2. Next, we will show the role of political connections for three different cohorts of the sample firms divided by their market capitalization.

[8]The result is in contrast to CONMP. However, Li et al. (2008) find tax to be positive and insignificant for PCFs.

4.2.2 Differences across different firms

To further explore the effect of political connections at disaggregate level, we rerun (1) for Large-cap, Mid-cap and Small-cap firms in the sample. In particular, the firms are divided by their size or market capitalization to further remove the endogeneity in results. For instance, access to credit for Large-cap firms could be higher than Mid-cap or Small-cap firms due to sizeable collateral rather than political connections.

Large-cap Firms

Table (7) reports the result of CONMP for large cap firms and find that politically connected large-cap firms (PCLFs) enjoy higher leverage, greater profitability, and favorable credit access. Credit access for these firms remains strong for both short-term and long-term[9] which is in line with general results for CONMP. Favorable PAT indicates the abnormal returns that the large-cap firms earn through their connections with MPs.

[Insert Table 7]

Table (8) provides the result of financial indicators for PCLFs when connections are built through contributions to the political parties. Panel (A) shows that PCLFs have higher leverage, earn favorable profits and have greater access to credit. The results are in contrast to CONCONTRI at an aggregate level where leverage and profitability turned out to be insignificant for PCFs. Panel (B) shows that both the coefficients of CONTRI1 and CONTRI2 are positive and significant for leverage, profitability and credit access of the firms. However, firms with stronger connections enjoy larger credit benefits as the coefficient of CONTRI2 is higher than the coefficient of CONTRI1 in short-term debt. These results are in line to CONTRI1 and CONTRI2 at the aggregate level (except CONTRI1 for short term debt) which provides strong evidence to believe that results at the aggregate level are quite robust.

[Insert Table 8]

[9]long term debt increases at the rate of 5.607 per unit as compared to short term debt which is much greater than short-term credit access. PCLFs prefer long term debt over short-term debt to reap the benefits of write off at the time of any emergency which confirms our hypothesis 4.

Nonetheless, benefits of contributions even to a single party in case of large cap firms leads to greater profitability and higher access to resources but this access is less than that for CONTRI2.

Mid-cap Firms

Mid-cap firms tend to have higher growth potential as compared to large-cap firms. In a developing economy with ill-functioning and weak market institutions, these firms are expected to build connections to extract higher profits. Table (9) shows that the benefits of politically connected mid-cap firms (PCMFs) through members of Lok Sabha and Rajya Sabha (MPs) remain weak with lower leverage and insignificant short-term debt. These results are in contrast to CONMP at the aggregate level and for large-cap firms where PCFs have higher leverage and greater credit access. Thus, PCMFs indicates high profitability with low credit dependence which shows their substantial efficiency over PCLFs.

[**Insert Table 9**]

Table (10) reports the result for PCMFs when connections are built through contributions to the political parties. Panel (A) indicates that PCMFs enjoy considerable leverage and credit access with a sizeable amount of short-term debt. Short-term debt increases at the rate of 6.062 per unit for PCMFs whereas long-term debt increases at the rate of 2.411 per unit. This can be taken as an indicator of weak political influence as the coefficient of short-term debt leads the long-term debt where a high proportion of long-term debt implies the greater possibility of write-offs for these firms (Khwaja and Mian (2005)). PCMFs leverage remains positive and significant which shows that their total debt as a proportion of total capital is higher than that of non-politically connected mid-cap firms (NPCMFs). Tax for PCMFs remains positive and significant which shows that these firms make higher tax payments but their profitability remain positive and insignificant implies taxes are not profit driven. These results are robust as compared to CONCONTRI at the aggregate level and quite in line with large-cap firms.

This indicates that a diversified definition to measure political connections is important in a country like India where numerous bodies are involved in decision making. In case of mid-cap firms, we have not seen any significant effect of political connections in case of CONMP but the results remain robust in case of CONCONTRI.

[Insert Table 10]

Panel (B) shows the effect of the strength of political connections on benefits enjoyed by PCMFs. In case of mid-cap firms, CONTRI1 and CONTRI2 both turns out to be positive and significant for financial indicators but results remain stronger for CONTRI2. PCMFs contributing to both the political parties have higher leverage, higher profitability (ROA is negative, but PAT is positive) and favorable credit access. ROA for both CONTRI1 and CONTRI2 are negative remaining high for the former (confirmed by Ling et al. (2016)). Tax payments and PAT are high for firms contributing to both the parties with the possibility of profit driven tax payments. The coefficient of CONTRI2 is high for both short term and long term debt whereas CONTRI1 turned out negative for short-term debt. In case of CONTRI1, leverage remained insignificant whereas long-term debt remained positive and significant for these firms which implies that though these firms have greater access to long-term debt its proportion in their total debt remain insignificant for CONTRI1 as even with high long-term debt these firms have an insignificant effect over their leverage. The results are consistent at the aggregate level.

However, in contrast to large-cap firms, mid-cap firms exhibit a substantial gap between CONTRI1 and CONTRI2 which provides a considerable evidence of political influence when firms themselves cannot affect the market with their large size. Thus, the connections provide extended benefits to the mid-cap firms supporting both the parties (CONTRI2) as compared to the firms supporting a single party (CONTRI1).

Small-cap Firms

Table (11) shows the result of CONMP for small-cap firms and reports that politically connected small-cap firms (PCSFs) have higher leverage and access to long-term credit. However, these firms have lower profitability which is shown by negative coefficient of CONMP for PAT. The results are quite in line to CONMP at an aggregate level where firms have higher leverage and access to credit, but the profitability of PCSFs remain negative and significant. Thus, having political connections through MPs is not profitable for small-cap firms, yet it does have a positive effect on access to resources or credit for these firms.

[Insert Table 11]

Table (12) reports the result of PCSFs when political connections are made through contributions to national political parties. Panel (A) shows that CONCONTRI is positive and significant for leverage, tax and firm's short-term debt. However, tax payments by PCSFs remain lower as compared to their non-connected peers with insignificant profitability effect, indicates lower profitability does not drive lower tax payment. These results are in contrast to CONCONTRI at an aggregate level where firms enjoy higher profitability and larger credit access. However, higher tax payments at aggregate level could be profitability driven which is not observed in the case of PCSFs. Lower tax for PCSFs might also indicate that PCSFs mainly enjoy the concessions in tax payments provided by the government for small-cap firms. Again, we have seen weak results in the case of a complete or broad classification for political connections.

[Insert Table 12]

Panel (B) shows the effect of the strength of connections for PCSFs. The results indicate that in the case of Small-cap, firms supporting to both the parties have higher leverage, greater profitability and credit access as compared to firms supporting a single party which is consistent with Cooper et al. (2010).

5 Conclusion

The study proposed a broader definition of political connections and tried to show the nature and consequences of these connections in India's mixed economic system. We use quite effortless techniques to empirically justify the effect of connections over firms' performance and their resource access. Our analysis emphasizes over the effect of connections through different channels including MPs and contributions to the national political parties. We have tried to include possible routes of forming connections to look at the effect of various types of connection over firms performance. In a developing and mixed economy like India, we expect to have higher leverage and greater abnormal profits and high credit access for PCFs. Specifically, we find that firms connected through MPs enjoy high profitability and increased resource access. However, when connections are defined through contributions, firm's contributing to multiple parties are benefited more as compared to the firms supporting a single party.

Firms could differ in their performances due to their capabilities which may vary at different levels in the market like higher collateral with large-cap firms as compared to mid-cap and small-cap firms. Thus, to control this level effect or to look at the influence of political connections at the disaggregate level, we divided firms into three different cohorts (Large-cap, Mid-cap, and Small-cap) and assumed that firms possess similar capabilities in these groups. We observe that benefits from political connections not only differ with the strength and type of connections but they also differ with the firm's market capitalization. Large-cap firms have higher leverage, greater profitability and credit access from all channels of connections. And, these benefits vary with the extent of financial support provided by firms to various political parties. In order words, companies' contributing to both the parties enjoy higher benefits. Mid-cap firms' show mixed results that differ with the channel of forming political connections. Connections through MPs do not provide many advantages to these companies as compared to connections through contributions to multiple political parties. Similarly, in the case of Small-cap firms, the benefits are higher for firms contributing to various parties.

Thus, the findings suggests that political connections are opportune to business activities in a developing economy like India. Political connections through different channels provide benefits to the firms but the intensity of these benefits differ with the strength of connections and size of the firms. This indicates that to constrain the market failure or to diminish the role of political influence there is a need to develop market-supporting institutions. The results are consistent with Fisman (2001) who focused that the decentralized structure of the Indian economy requires connections with various governing bodies.

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Tables

Table 1: Connected firms according to different connection attributes

				Members of Parliament		Contributions to the National Political Parties					
		CONN		CONMP		CONCONTRI		CONTRI1		CONTRI2	
	Total Obs.	Obs.	%	Obs.	%	Obs.	%	Obs.	%	Obs.	%
All Firms	419	124	29.59	20	4.77	110	26.25	51	12.17	59	14.08
Large-Cap	58	26	10.32	2	0.79	25	9.92	6	2.38	19	7.54
Mid-Cap	68	24	9.52	7	2.78	19	7.54	4	1.59	15	5.95
Small-Cap	126	30	11.9	7	2.78	24	10.32	19	7.54	7	2.78

Notes: Total Obs. are the firms registered in the Bombay Stock Exchange (BSE500), excluding financial and banking firms. Data for Large-Cap, Mid-Cap and Small-Cap firms is taken from CMIE database and only those firms are included which are listed in BSE. Thus, their sum is not equal to total observations of the sample. CONN stands for political connections based on the definition provided in the study. For different types of connections, CONMP stands for political connections build through MPs and CONCONTRI stands for firms contributing to any one of the national party at least once. To showcase the effect of the strength of connections we use CONTRI1 and CONTRI2 where CONTRI1 refers to firms contributing to a single party and CONTRI2 stands for firms contributing to both the political parties.

Table 2: Description of Variables

Variables	Obs.	Mean	Std. Dev.	Min	Max
Financial Indicators					
Leverage	4476	3.082	1.601	-4.605	8.290
Tax	5448	1.821	1.088	-4.605	6.684
ROA	4417	2.155	0.806	-3.912	5.007
PAT	5061	6.969	1.923	-2.302	12.521
Short term debt	4242	13.862	2.603	1.609	20.292
Long term debt	4202	14.505	2.719	1.098	20.985
Firm Attributes					
Total Cap	5532	6.205	1.711	-2.302	11.72
Labour	3182	7.975	1.351	2.197	12.782
Operating Exp	4394	8.246	2.098	-2.302	15.020
Country control					
GFCF	5866	30.709	0.395	29.949	31.196

Notes: We have taken natural logarithum of all the above mentioned variables. Definition of dependent variables is given in Section 3.4 of the study. ROA stands for return on assets and PAT stands for profit after tax of the firms. Total Cap and labour (used to measure total output) stands for total capital and number of employees respectively in a firm. Operating exp represents firm's operating expenses measured by raw materials and spares used in production. GFCF represents gross fixed capital formation in India from 2002-2015.

Table 3: Summary Statistics

	Non-CONN	CONN	Diff	t-test(p-value)		
Variables	Mean	Mean	Mean	Pr(T <t)	Pr(| T | >| t |)	Pr(T >t)
Financial Indicators						
Leverage	2.932	3.413	-0.481	0.000	0.000	1.000
Tax	1.836	1.789	0.047	0.928	0.145	0.072
ROA	2.179	2.104	0.075	0.998	0.004	0.002
PAT	6.836	7.283	-0.447	0.000	0.000	1.000
Short term debt	13.597	14.425	-0.828	0.000	0.000	1.000
Long term debt	14.164	15.232	-1.068	0.000	0.000	1.000
Firm Attributes						
Total Cap	6.111	6.429	-0.317	0.000	0.000	1.000
Labour	7.941	8.056	-0.116	0.014	0.027	0.987
Operating Exp	8.070	8.621	-0.551	0.000	0.000	1.000

Notes: CONN represents politically connected firms (PCFs). The t-test tests the difference in means between non-connected and connected firms where Pr(T <t) represents Ha: diff <0, Pr(| T | >| t |) represents Ha: diff ≠ 0, Pr (T >t) represents Ha: diff >0.

Table 4: General definition of Connections

	Model 1	Model 2	Model 3		Model 4	
Dependent Variable	Leverage	Tax	ROA	Profit	Short term debt	Long term debt
CONN	3.012***	0.975**	0.706	0.868	2.485*	-0.720
	(1.027)	(0.406)	(0.624)	(0.788)	(1.462)	(1.327)
State	-3.169***	-0.122	-0.347	1.494***	2.830***	4.638***
	(0.651)	(0.246)	(0.396)	(0.502)	(0.941)	(0.987)
Firm Attributes						
Total Cap	-0.0172	0.00863	0.0447**	0.305***	-0.0454	-0.116***
	(0.0343)	(0.0130)	(0.0217)	(0.0347)	(0.0498)	(0.0434)
Labour	0.145**	-0.0174	0.0466	-0.205***	0.320***	0.305***
	(0.0654)	(0.0232)	(0.0403)	(0.0467)	(0.0952)	(0.0829)
Operating Exp	-0.00247	-0.0181	0.0563**	-0.0788***	-0.000618	-0.00987
	(0.0386)	(0.0142)	(0.0242)	(0.0281)	(0.0553)	(0.0490)
Country Control						
GFCF	-0.496***	-0.118***	-0.152**	-1.311***	1.296***	0.831***
	(0.124)	(0.0428)	(0.0735)	(0.0778)	(0.179)	(0.159)
Constant	15.30***	5.957***	5.908***	46.57***	-30.46***	-16.07***
	(3.703)	(1.275)	(2.188)	(2.339)	(5.341)	(4.757)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Observations	2,215	2,589	2,293	2,432	2,130	2,062
R-squared	0.706	0.818	0.542	0.875	0.779	0.838

Standard errors in parentheses
*** p<0.01, ** p<0.05, * p<0.1

Table 5: Connections through Members of Lok Sabha and Rajya Sabha

	Model 1	Model 2	Model 3		Model 4	
Dependent Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONMP	3.012***	-1.344***	0.466	2.145***	2.485*	3.434**
	(1.027)	(0.399)	(0.617)	(0.777)	(1.462)	(1.419)
State	3.306***	-0.176	-0.347	1.494***	2.830***	1.742
	(0.758)	(0.296)	(0.396)	(0.502)	(0.941)	(1.301)
Firm attributes						
Total Cap	-0.0172	0.00863	0.0447**	0.305***	-0.0454	-0.116***
	(0.0343)	(0.0130)	(0.0217)	(0.0347)	(0.0498)	(0.0434)
Labour	0.145**	-0.0174	0.0466	-0.205***	0.320***	0.305***
	(0.0654)	(0.0232)	(0.0403)	(0.0467)	(0.0952)	(0.0829)
Operating Exp	-0.00247	-0.0181	0.0563**	-0.0788***	-0.000618	-0.00987
Country Control						
	(0.0386)	(0.0142)	(0.0242)	(0.0281)	(0.0553)	(0.0490)
GFCF	-0.496***	-0.118***	-0.152**	-1.311***	1.296***	0.831***
	(0.124)	(0.0428)	(0.0735)	(0.0778)	(0.179)	(0.159)
Constant	15.30***	5.957***	5.908***	46.57***	-30.46***	-16.07***
	(3.703)	(1.275)	(2.188)	(2.339)	(5.341)	(4.757)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Observations	2,215	2,589	2,293	2,432	2,130	2,062
R-squared	0.706	0.818	0.542	0.875	0.779	0.838

Standard errors in parentheses
*** p<0.01, ** p<0.05, * p<0.1

Table 6: Connections through Contributions to the National Parties

Panel A: Contributions

	Model 1	Model 2	Model 3		Model 4	
Dependent Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONCONTRI	0.553	0.975**	0.466	0.868	2.485*	3.903***
	(1.038)	(0.406)	(0.617)	(0.788)	(1.462)	(1.316)
State	-3.169***	-0.122	-0.347	1.494***	2.830***	4.638***
	(0.651)	(0.246)	(0.396)	(0.502)	(0.941)	(0.987)
Firm Attributes						
Total Cap	-0.0172	0.00863	0.0447**	0.305***	-0.0454	-0.116***
	(0.0343)	(0.0130)	(0.0217)	(0.0347)	(0.0498)	(0.0434)
Labour	0.145**	-0.0174	0.0466	-0.205***	0.320***	0.305***
	(0.0654)	(0.0232)	(0.0403)	(0.0467)	(0.0952)	(0.0829)
Operating Exp	-0.00247	-0.0181	0.0563**	-0.0788***	-0.000618	-0.00987
	(0.0386)	(0.0142)	(0.0242)	(0.0281)	(0.0553)	(0.0490)
Country Control						
GFCF	-0.496***	-0.118***	-0.152**	-1.311***	1.296***	0.831***
	(0.124)	(0.0428)	(0.0735)	(0.0778)	(0.179)	(0.159)
Constant	15.30***	5.957***	5.908***	46.57***	-30.46***	-16.07***
	(3.703)	(1.275)	(2.188)	(2.339)	(5.341)	(4.757)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	2,215	2,589	2,293	2,432	2,130	2,062
R-Squared	0.706	0.818	0.542	0.875	0.779	0.838

Panel B: Contributions to Single vs Both the National Parties

Dependent Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONTRI1	3.012***	0.336	0.466	2.145***	-3.986***	5.613***
	(1.027)	(0.402)	(0.617)	(0.777)	(1.477)	(1.314)
CONTRI2	2.846***	0.296	-0.170	1.855**	3.172**	3.903***
	(1.018)	(0.399)	(0.619)	(0.780)	(1.466)	(1.316)
State	-3.169***	-0.122	-0.347	1.494***	2.830***	4.638***
	(0.651)	(0.246)	(0.396)	(0.502)	(0.941)	(0.987)
Firm Attributes						
Total Cap	-0.0172	0.00863	0.0447**	0.305***	-0.0454	-0.116***
	(0.0343)	(0.0130)	(0.0217)	(0.0347)	(0.0498)	(0.0434)
Labour	0.145**	-0.0174	0.0466	-0.205***	0.320***	0.305***
	(0.0654)	(0.0232)	(0.0403)	(0.0467)	(0.0952)	(0.0829)
Operating Exp	-0.00247	-0.0181	0.0563**	-0.0788***	-0.000618	-0.00987
	(0.0386)	(0.0142)	(0.0242)	(0.0281)	(0.0553)	(0.0490)
Country Control						
GFCF	-0.496***	-0.118***	-0.152**	-1.311***	1.296***	0.831***
	(0.124)	(0.0428)	(0.0735)	(0.0778)	(0.179)	(0.159)
Constant	15.30***	5.957***	5.908***	46.57***	-30.46***	-16.07***
	(3.703)	(1.275)	(2.188)	(2.339)	(5.341)	(4.757)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	2,215	2,589	2,293	2,432	2,130	2,062
R-Squared	0.706	0.818	0.542	0.875	0.779	0.838

Standard errors in parentheses
*** p<0.01, ** p<0.05, * p<0.1

Table 7: Connections through Members of Lok Sabha and Rajya Sabha for Large-cap firms

VARIABLES	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONMP	2.943***	0.400	0.549	2.146***	2.520*	5.607***
	(1.034)	(0.353)	(0.608)	(0.758)	(1.473)	(1.279)
State	-3.169***	0.198	-0.435	1.815**	-0.735	-2.157*
	(1.062)	(0.361)	(0.446)	(0.781)	(1.506)	(1.290)
Total Cap	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Observations	1,597	1,874	1,717	1,796	1,545	1,489
R-squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses
*** p<0.01, ** p<0.05, * p<0.1

Table 8: Connections through Contributions to the National Parties for Large-cap firms

Panel A: Contributions						
Dependent Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONCONTRI	2.943***	0.400	-0.235	2.015***	3.283**	5.607***
	(1.034)	(0.353)	(0.609)	(0.760)	(1.474)	(1.279)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Cap	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Panel B: Contributions to Single vs Both the National Parties						
Variabes	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONTRI1	2.943***	0.400	0.147	2.146***	2.520*	5.607***
	(1.034)	(0.353)	(0.368)	(0.758)	(1.473)	(1.279)
CONTRI2	2.380**	-0.369	-0.235	2.015***	3.641**	5.275***
	(1.036)	(0.353)	(0.609)	(0.760)	(1.450)	(1.259)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Cap	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 9: Connections through Members of Lok Sabha and Rajya Sabha for Mid-cap firms

Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONMP	-4.022***	0.0937	-0.0237	1.549***	-1.109	3.201**
	(0.799)	(0.146)	(0.380)	(0.549)	(1.132)	(1.384)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses
***p<0.01, ** p<0.05, * p<0.1

Table 10: Connections through Contributions to the National Parties for Mid-cap firms

Panel A: Contributions						
Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONCONTRI	2.945***	0.376*	0.696	1.251	6.062***	2.411*
	(0.609)	(0.204)	(0.617)	(0.773)	(0.875)	(1.302)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Panel B: Contributions to Single vs Both the National Parties						
Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONTRI1	0.545	-0.973***	-1.573***	-0.571	-4.279***	8.835***
	(1.051)	(0.202)	(0.352)	(0.441)	(1.497)	(0.776)
CONTRI2	2.071***	0.376*	-0.928***	3.087***	2.824***	7.271***
	(0.600)	(0.204)	(0.358)	(0.439)	(0.863)	(0.779)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses
***p<0.01, ** p<0.05, * p<0.1

Table 11: Connections through Members of Lok Sabha and Rajya Sabha for Small-cap firms

Dependent variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONMP	2.785***	-0.412	-0.262	-2.870***	2.465*	2.658**
	(1.017)	(0.348)	(0.286)	(0.745)	(1.448)	(1.259)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses
***p<0.01, ** p<0.05, * p<0.1

Table 12: Connections through Contributions to the National Parties for Small-cap firms

Panel A: Contributions

Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONCONTRI	2.645**	-0.688**	-0.210	0.0789	2.465*	-0.710
	(1.032)	(0.349)	(0.600)	(0.748)	(1.448)	(1.299)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Panel B: Contributions to Single vs Both the National Parties

Variables	Leverage	Tax	ROA	PAT	Short term debt	Long term debt
CONTRI1	2.128**	-0.688**	-0.210	0.0789	1.291	-0.710
	(1.021)	(0.349)	(0.600)	(0.748)	(1.452)	(1.299)
CONTRI2	2.785***	0.333	0.842**	0.983	2.594***	1.964***
	(0.498)	(0.350)	(0.391)	(0.750)	(0.683)	(0.629)
State	3.261***	-0.177	-0.400	0.749	3.684***	1.790
	(0.760)	(0.259)	(0.418)	(0.557)	(1.086)	(1.258)
Firm Attributes						
Total Capital	-0.0130	0.0290**	0.0204	0.271***	0.0349	-0.116**
	(0.0410)	(0.0135)	(0.0243)	(0.0400)	(0.0591)	(0.0502)
Labour	0.163**	-0.0471*	0.0974**	-0.234***	0.210*	0.322***
	(0.0783)	(0.0241)	(0.0461)	(0.0532)	(0.113)	(0.0961)
Operating Exp	0.0115	-0.0414**	0.0469	-0.0459	-0.0448	-0.00972
	(0.0498)	(0.0161)	(0.0286)	(0.0349)	(0.0711)	(0.0613)
Country Control						
GFCF	-0.574***	-0.0790*	-0.148*	-1.392***	1.363***	0.687***
	(0.145)	(0.0443)	(0.0820)	(0.0895)	(0.208)	(0.180)
Constant	17.50***	5.060***	5.652**	49.22***	-31.74***	-11.72**
	(4.277)	(1.308)	(2.425)	(2.663)	(6.168)	(5.330)
Firm dummies	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies	Yes	Yes	Yes	Yes	Yes	Yes
Obs.	1,597	1,874	1,717	1,796	1,545	1,489
R-Squared	0.708	0.816	0.531	0.877	0.793	0.847

Standard errors in parentheses
***p<0.01, ** p<0.05, * p<0.1